

TITLECHAIN FOUNDATION

PUBLIC COMMENT

FILE NO. S7-2026-35

Adviser and Regulated Fund Custody Rules; Crypto Custody Rules

Comment Regarding Custody, Authority, Digital Securities and Transfer-Agent Reconciliation

October 3, 2026

Vanessa A. Countryman
Secretary
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File No. S7-2026-35 - Release Nos. IA-7023; IC-36353

Adviser and Regulated Fund Custody Rules; Crypto Custody Rules

Dear Ms. Countryman:

On behalf of TitleChain Foundation, I respectfully submit this comment on the Commission's proposed Adviser and Regulated Fund Custody Rules; Crypto Custody Rules, File No. S7-2026-35.

TitleChain Foundation previously submitted comments in File No. S7-2026-30 concerning modernization of the transfer-agent rules, including electronic records, distributed-ledger technology, the Master Securityholder File, transfer authority and the distinction between a wallet identifier and legally accountable authority. The present proposal brings the custody side of that same infrastructure into focus.

The Foundation's principal recommendation is straightforward: custody should protect an asset, but custody should not become the source of legal authority over the asset. A cryptographic key can establish technical control. The regulatory record should still establish whose asset it is, who is authorized to act, in what capacity, under what restrictions and what legally recognized ownership state results from a transaction.

The Commission can preserve those distinctions without prescribing a particular blockchain, wallet, identity provider, registry or commercial platform.

I. Custody, control, authority and ownership are different functions

The proposal recognizes a practical reality of crypto assets: safeguarding often turns on possession and protection of private key material. That makes key management central to custody. It does not make key possession equivalent to ownership or legal authority.

An investment adviser, custodian, transfer agent or other regulated intermediary may possess or safeguard key material for the benefit of another person. A person may also control a wallet without having unrestricted legal authority to transfer every asset represented in that wallet. The rules should therefore avoid any implication that cryptographic control, by itself, settles the legal questions of ownership, entitlement or authority.

This distinction is particularly important for tokenized securities and other digital securities, where the technical state of a token, the issuer's books, the transfer agent's records and a custodian's records may all describe different aspects of the same position.

A private key establishes an ability to act; it does not, standing alone, establish the legal right to act.

II. The proposed adviser self-custody framework should include authority-bound records

The Commission proposes a limited adviser self-custody framework under which an adviser would first determine, and no less than quarterly determine in writing, that a qualified custodian is not available for the particular crypto asset. The proposal also requires safeguarding expertise and systems addressing private key management, joint authorization by at least two persons, client-level address segregation, cybersecurity and independent control review.

Those controls are important safeguards against theft, loss, misuse and misappropriation. They principally answer a safekeeping question: how may the adviser securely control and use the key material? For a security or similar investment, however, the record should also answer a separate question: under what legal authority was the key used?

Joint authorization by two persons can reduce operational risk, but two signatures do not by themselves establish that either signer had authority to transfer a particular security for a particular client. The Commission should therefore require or encourage records that bind the use of key material to an accountable principal, role or appointment, asset and account, applicable transfer restrictions, scope of delegation, required approvals and the resulting transaction state.

This can be implemented in a technology-neutral manner. The objective is not to prescribe an identity system. It is to make the basis of authority reconstructable after the fact and, where feasible, verifiable before execution.

III. The Commission should distinguish investor self-custody from adviser self-custody

The phrase 'self-custody' is commonly used in the crypto market to describe an owner holding and safeguarding the owner's own private keys. In this proposal, adviser self-custody describes something materially different: an adviser maintaining client crypto assets under a regulatory exception from the qualified-custodian requirement.

That distinction should remain explicit in the final rule and related guidance. Clear terminology will help avoid confusion about who is the owner, who is the fiduciary, who controls key material and who bears the regulatory duties associated with safekeeping.

The Foundation therefore recommends that Commission releases and forms use terminology that makes the principal relationship clear, for example 'adviser custody of client crypto assets under the self-custody exception,' where context permits.

IV. State trust company custody should preserve portable evidence of authority and ownership

The proposal would permit advisers and regulated funds to maintain crypto assets with a State trust company subject to conditions, including due diligence concerning safeguarding policies, private key management and cybersecurity.

TitleChain Foundation supports a framework in which regulated entities can use multiple custody models, provided the legal and evidentiary responsibilities remain clear. A State trust company custodian should be able to prove not only how key material is safeguarded, but also which client or account the asset is held for, what authority supports a transaction and how the resulting state reconciles with any legally authoritative ownership record.

The Commission should favor open, portable and auditable evidence over architectures that make the investor or another regulated participant dependent on a single proprietary custody platform. This does not require a mandated technical standard. It requires that the necessary records be exportable, reconcilable and capable of independent review.

V. The Commission's questions concerning transfer agents and uncertificated digital securities should be answered together with transfer-agent modernization

The proposing release specifically asks whether transfer agents should be permitted to custody regulated fund shares and other uncertificated securities, including uncertificated digital securities held by an issuer's transfer agent, and whether rule 17f-4 should be amended to add transfer agents.

We believe transfer agents may be permitted to perform a custody function where the applicable safeguards are satisfied, but the rule should preserve a functional distinction between custody and the legally authoritative securityholder record.

Where a transfer agent performs both functions, its records should make clear when it is acting as custodian, when it is acting in its transfer-agent capacity and what evidence connects the two. The same entity may perform both roles; the roles should not be collapsed into one legal concept.

For digital securities, the Commission should encourage a reconciled record capable of associating the securityholder recognized on the issuer's books with the relevant account or address, the custodian or other party safeguarding key material, the authority under which a transfer instruction was issued, applicable restrictions, the transaction evidence and the resulting registered ownership state.

This approach would complement, rather than displace, the transfer agent's obligations under the federal securities laws. It would also reduce the risk that possession of a token or key is treated as conclusive evidence of title when the legally authoritative record says otherwise.

VI. Software-based agents should not become independent sources of authority

The Commission expressly asks whether advisers and custodians use non-human, software-based agents as signatories for crypto asset transactions, including automated smart contracts and artificial intelligence, and whether the proposed joint-authorization requirement should permit or prohibit their use.

The Foundation recommends that software-based agents be permitted to execute only within clearly defined delegated authority and not be treated as an independent source of legal authority merely because the software possesses a credential, API permission, wallet access or a share of key material.

At least one accountable human or legally responsible entity should remain identifiable for the authority under which the transaction occurs. The delegation should be scoped, reviewable and capable of expiration or revocation. The record should identify the principal, the agent or system acting, the authority granted, applicable limits and the evidence of execution.

This is not a prohibition on automation. It is a separation of automation from authority. A machine may execute an authorized instruction; it should not manufacture the legal authority on which that instruction depends.

VII. Requested Commission consideration

In adopting any final rules, TitleChain Foundation respectfully asks the Commission to consider the following principles:

- 1. Separate custody from ownership and authority.** Control of private key material should not, standing alone, determine legal ownership or authority to transfer a security.
- 2. Record the basis of authority, not merely the fact of signature.** For digital securities, custody controls should be accompanied by records sufficient to establish the accountable principal, role, delegation, restrictions and approvals supporting the transaction.
- 3. Keep adviser self-custody limited and clearly described.** The final framework should preserve the proposed threshold determination regarding custodian availability and distinguish adviser custody of client assets from an investor's direct self-custody.

- 4. Permit multiple qualified custody models while requiring portable evidence.** State trust companies and other permitted custodians should maintain records that can be independently reconciled with client, issuer and transfer-agent records.
- 5. Coordinate transfer-agent custody with File No. S7-2026-30.** If transfer agents are permitted to custody uncertificated digital securities, the Commission should preserve clear evidentiary boundaries among safekeeping, registration, authorization, execution and recordkeeping.
- 6. Keep autonomous software subordinate to accountable authority.** Software-based agents may execute within delegated authority, but a regulated record should identify the accountable human or legal principal and the limits of the delegation.
- 7. Remain technology neutral.** The Commission can establish these principles without selecting a blockchain, registry, wallet provider, identity provider or commercial vendor.

The Commission's proposal is an important attempt to adapt custody rules written for conventional financial infrastructure to assets whose technical control may be represented by cryptographic keys and programmable systems.

The durable rule should preserve a simple legal distinction: the ability to move an asset is not necessarily the authority to move it, and the party safeguarding an asset is not necessarily the party that owns it.

If those distinctions are preserved, crypto custody can become more interoperable without weakening the records that investors, issuers, advisers, funds, transfer agents and regulators rely upon to establish responsibility and ownership.

TitleChain Foundation offers its public standards work solely as an optional, implementation-neutral reference architecture. We do not request that the Commission designate TitleChain, M5Canon or any Foundation system as a required platform, registry, custodian, transfer agent or regulated service provider.

Thank you for the opportunity to comment.

Respectfully submitted,

/s/ **Pamela Norton**

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References

1. U.S. Securities and Exchange Commission, Adviser and Regulated Fund Custody Rules; Crypto Custody Rules, Release Nos. IA-7023; IC-36353, File No. S7-2026-35 (Oct. 1, 2026), including proposed adviser self-custody requirements at pp. 43-45.
2. Id. at pp. 115-116 (Request for Comment No. 77 concerning software-based agents, smart contracts and artificial intelligence as signatories of crypto asset transactions).
3. Id. at pp. 189-194 (proposed State trust company safeguarding and due-diligence framework).
4. Id. at pp. 255-256 (Requests for Comment Nos. 204-205 concerning transfer-agent custody of regulated fund shares and other uncertificated securities, including uncertificated digital securities).
5. U.S. Securities and Exchange Commission, Fact Sheet, Investment Adviser and Regulated Fund Custody Rules; Crypto Custody Rules (Oct. 1, 2026).
6. TitleChain Foundation, Public Comment, File No. S7-2026-30 (Sept. 5, 2026), and Supplemental Public Comment, File No. S7-2026-30 (Oct. 3, 2026).